EXECUTIVE SUMMARY

A. Introduction

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile, who was the prime mover for the construction of roads in Northern Luzon. However, there was no enabling law or records available showing the creation of the municipality. This 3rd class Municipality produces rice, corn, tobacco, peanuts and sugar cane.

Financial, compliance and value for money audit were conducted on the accounts and operations of the Municipality for calendar year 2022. The audit objectives were to ascertain the propriety of the disbursements, reliability of the financial reports, adequacy of accounting records, compliance with laws, rules and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Operational Highlights

The following programs, projects and activities charged under the different sources of the fund of the Municipality of Enrile, Cagayan were completed in 2022:

Programs/Projects/Activities	Total Cost Incurred
Improvement of Municipal Hall Building 4th Floor for Disaster Operation Center	P6,015,749.00
Concreting of Municipal Roads	4,989,664.00
Expansion of Level III Water System (Distribution Pipe Network)	2,199,497.32
Construction of Multi-Purpose Building (Warehouse)	3,264,713.11
Expansion of Level III Water System (Distribution Pipe Network)	4,816,640.72
Completion of GSO Office and Motor pool	1,437,457.14
Rehabilitation of MWSE Zone 2 (Establishment of Magalalag East Pumping Station)	5,440,033.61
Installation of LED Solar Street Lights	9,994,971.82
Completion of Multi-Purpose Building (Warehouse)	499,983.12
Construction of Drainage Canal, Retaining Wall and Box Culverts	1,095,565.10
Improvement of Municipal Hall Building (Installation of Awning Windows at Ground Floor, Ceiling Works, Third Floor and Installation of Aluminum Partitions for COA Office, Budget Office and Vice Mayor's Office)	983,473.09
Installation for Additional LED Solar Street Lights	354,291.22
1 Set Rescue Boat for LDRRM use	585,000.00
Acquisition of Information Technology Equipment of E-NGAS and E-BUDGET	682,500.00
2 Units of Recue Boat with OBM & Trailer for DRRM Use	1,498,876.50
TOTAL	**P43,858,415.75**

C. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Enrile, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Accounts	2022	2021	Increase/(Decrease)
Assets	438,020,094.68	350,686,912.53	87,333,182.15
Liabilities	107,211,590.96	72,734,652.40	34,476,938.56
Government Equity	330,808,503.72	277,952,260.13	52,856,243.59
Income	234,011,570.97	232,214,788.95	1,796,782.02
Expense	181,732,561.87	157,030,745.24	24,701,816.63
Appropriation	385,620,388.15	182,772,978.00	202,847,410.15
Obligation	227,894,135.42	141,850,988.20	86,043,147.22

The balances of funds received by the Municipality and transferred to other agencies and non-government and people's organizations for CY 2022, with comparative figures for CY 2021, are presented in the following table:

Funds Received from Other Agencies	2022	2021	Increase/(Decrease)
Due to NGAs	21,829,994.05	10,916,511.23	10,913,482.82
Due to LGUs	432,426.58	8,601,663.34	(8,169,236.76)
Due to NGOs/Pos	0.00	0.00	0.00
Due to GOCCs	20,002.13	20,002.13	0.00
Total	**22,282,422.76**	**19,538,176.70**	**2,744,246.06**

Funds Transferred to Other Agencies	2022	2021	Increase/(Decrease)
Due from NGAs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/POs	0.00	0.00	0.00
Due from Others	0.00	0.00	0.00
Total	0.00	0.00	0.00

D. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Enrile, Cagayan for the year-ended December 31, 2022 due to the following misstatements aggregating to P17,716,675.56 on account errors, omission and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Enrile disclosed misstatements totaling P17,716,675.56 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Building	₱6,015,749.00	₱ 0.00	₱ 0.00	₱6,015,749.00
Medical, Dental and Laboratory Supplies Expenses; Grants and Donations in Kind	0.00	0.00	6,866,511.12	6,866,511.12
Deferred Real Property Tax; Deferred Special Education Fund Tax	0.00	1,624,120.43	0.00	1,624,120.43
Real Property Tax - Basic	0.00	0.00	817,798.98	817,798.98
Cash Local Treasury	806,321.46	0.00	0.00	806,321.46
Cash in Bank – Local Currency, Current Account	1,122,780.95	0.00	0.00	1,122,780.95
Water Supply Systems; Construction in Progress - Infrastructure Assets	318,697.30	0.00	0.00	318,697.30
Depreciation Expense; Accumulated Depreciation	0.00	0.00	144,696.32	144,696.32
Total	**₱8,263,548.71**	**₱1,624,120.43**	**₱7,829,006.42**	**₱17,716,675.56**

As a result, the following accounts in the financial statements of the Municipality of Enrile were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Building	₱ 6,015,749.00		1
Medical, Dental and Laboratory Supplies Expenses; Grants and Donations in Kind	6,866,511.12		2
Deferred Real Property Tax; Deferred Special Education Fund Tax	1,624,120.43		3
Real Property Tax- Basic		817,798.98	3
Cash Local Treasury	806,321.46		3
Cash in Bank – Local Currency, Current Account		1,122,780.95	4
Water Supply Systems; Construction in Progress - Infrastructure Assets	318,697.30		5
Depreciation Expense; Accumulated Depreciation	144,696.32		6
Total	**₱ 15,776,095.63**	**₱ 1,940,579.93**	**₱ 17,716,675.56**

E. Summary of Significant Observations and Recommendations

1. **Ten (10) of the seventeen (17) identified development projects of the Municipality with total appropriations of P38,662,075.20 which account to**

68.80% of the total available 20% Development Fund for CY 2022 and prior years of P56,193,349.46 were not fully implemented. Consequently, the intended beneficiaries were deprived of the timely and optimal utilization of the projects contrary to DILG-DBM Joint Memorandum Circular (JMC) No. 2017-1 dated February 22, 2017 and DBM-DOF-DILG JMC No. 1 dated November 4, 2022.

We recommended that the Municipal Mayor, together with the Municipal Planning and Development Council, through the Municipal Planning and Development Officer, ensure that the development projects for each budget year to be funded out of the 20% Development Fund (DF) are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects pursuant to Section 3.2.3 of DBM-DOF-DILG JMC No. 1 dated November 4, 2022. Projects should be first judicially reviewed and assessed to determine any issues that will cause delay or non-implementation before these are budgeted in a given year.

Moreover, we recommended the Municipality to resolve issues in the implementation of the four (4) unimplemented projects in the amount of P17,000,000.00 to optimize the utilization of the 20% Development Fund as mandated under DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017.

2. **The Municipality was not able to implement five (5) out of eighteen (18) programs, projects and activities (PPAs) amounting to P13,090,791.78 or 43.12% of the total available 5% Local Disaster Risk Reduction and Management Fund (LDRRMF) for CY 2022 and prior years of P30,359,457.92, hence, the desired goals and objectives of reducing disaster risk and enhancing disaster preparedness and response capabilities of the Municipality was not fully achieved.**

   We recommended that the Municipal Mayor, together with the Municipal Disaster Risk Reduction and Management Officer (MDRRMO), ensure that the projects for each budget year to be funded out of the 5% LDDRMF are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects to fully achieve desired goals and objectives in reducing disaster risk and enhancing disaster preparedness and response capabilities of the Municipality pursuant to Republic Act No. 10121. Projects should be first judicially reviewed and assessed to determine any issues that will cause delay or non-implementation before these are budgeted in a given year.

   Moreover, we recommended the Municipality to resolve issues in the implementation of the five (5) unimplemented projects in the amount of P13,090,791.78 to optimize the utilization of the 5% LDRRMF pursuant to Section 2 of Presidential Decree No. 1445.

3. **The actual revenue collections of the Municipality fell short of the FY 2022 annual revenue targets set by the Bureau of Local Government Finance (BLGF) by P11,100,787.73 or 22.73% of the total target revenue collections amounting to P48,844,681.00, hence, demonstrating the Municipality's inability to fully realize income potentials which contributed to the underachievement of the commitment under the Philippine Development Plan (PDP) 2017-2022.**

   We recommended the Municipal Treasurer to revisit its collection policies and strategies to identify new measures to improve revenue collection efficiency of the Municipality, particularly on the collection of Real Property Taxes, to fully realize income potentials and provide additional funds to finance socio-economic and development programs and projects of the Municipality.

4. **The immoderate reimbursements of supplies, meals and accommodation, and various maintenance and other operating expenses by the Municipal Treasurer totaling P2,588,073.81 which is in contrary to Section 93 of Presidential Decree No. 1445 suggest poor fiscal control of the Municipality, consequently, competitive procurement was compromised and taxes of approximately P58,403.75 were not dutifully withheld and remitted in accordance with Bureau of Internal Revenue (BIR) Revenue Memorandum Order (RMO) No. 23-2014 dated June 20, 2014.**

   We recommended that the Municipality minimize, if not totally avoid, the procurement of goods and services on reimbursement basis, instead promptly identify the requirements of every municipal activity to provide ample time in the conduct of procurement process and ensure that payments are drawn directly to the suppliers.

   Moreover, we recommended that the Municipal Accounting Office strictly comply with the provisions of Bureau of Internal Revenue (BIR) Revenue Memorandum Order No. 23-2014 dated June 20, 2014 on the withholding of taxes from payments of goods and services purchased by the Municipality in order to help the national government in generating revenues to meet its appropriation requirement and to avoid the imposition of penalties by the BIR.

5. **The Municipality did not strictly enforce the posting of Warranty Securities by contractors/suppliers for procurements totaling P11,864,314.11 as prescribed under Sections 62.1 and 62.2.3.3 of the 2016 Revised IRR of R.A. No. 9184, consequently, this exposed the Municipality to risk of not being adequately indemnified of costs associated with manufacturing or structural defects attributable to the suppliers'/contractors' fault.**

   We recommended that the Municipality strictly enforce the posting of the prescribed type of warranty securities by the suppliers and contractors for the

procurement of goods and infrastructure assets in adherence to Sections 62.1 and 62.2.3.3 of the 2016 Revised IRR of R.A. No. 9184.

6. **The issuance of Certificates of Acceptance shortly after project completion date and the non-conduct of final inspection prior to the expiration of the defects liability period, or one year from the date of project completion, for completed Municipal projects totaling P27,503,523.06 suggest poor technical control in ensuring that completed projects are free from damages with a guarantee that good quality materials are installed in the project implementation according to standard specifications. This identified lapses in technical procedures may deter management from determining proper charges against contractors' securities and lose the opportunity for indemnification of damages associated with it contrary to Section 62.2 of the 2016 Revised Implementing Rules and Regulations (RIRR) of R.A. No. 9184, otherwise known as the Government Procurement Reform Act.**

   We recommended that the Municipality conduct final inspection of projects prior to the expiration of the defects liability period and subsequently issue the Certificate of Acceptance after ensuring that all claims against the contractors concerned were settled pursuant to Section 62.2 of the 2016 Revised Implementing Rules and Regulations (RIRR) of R.A. No. 9184.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	12,494,613.19	0.00	0.00	12,494,613.19	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,494,613.19**	**0.00**	**0.00**	**12,494,613.19**	**0.00%**
Disallowances:					
Prior Years	12,321,981.04	0.00	0.00	12,321,981.04	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,321,981.04**	**0.00**	**0.00**	**12,321,981.04**	**0.00%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

The 160 Notices of Disallowance issued in CY 2020 totaling P9,065,242.01 are currently under appeal with the Commission on Audit.

G. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2021 Annual Audit Report are summarized as follows:

Implemented	30
Not implemented	7
Not implemented and reiterated in CY 2022 AAR	4
Total	**41**